



# **Course report 2023**

## **National 5 Business Management**

This report provides information on candidates' performance. Teachers, lecturers and assessors may find it useful when preparing candidates for future assessment. The report is intended to be constructive and informative, and to promote better understanding. You should read the report in conjunction with the published assessment documents and marking instructions.

The statistics in the report were compiled before any appeals were completed.

# Grade boundary and statistical information

## Statistical information: update on courses

Number of resulted entries in 2022: 8,920

Number of resulted entries in 2023: 9,928

## Statistical information: performance of candidates

### Distribution of course awards including minimum mark to achieve each grade

|                 |                      |       |            |      |                       |      |                       |     |
|-----------------|----------------------|-------|------------|------|-----------------------|------|-----------------------|-----|
| <b>A</b>        | Number of candidates | 3,539 | Percentage | 35.6 | Cumulative percentage | 35.6 | Minimum mark required | 84  |
| <b>B</b>        | Number of candidates | 2,190 | Percentage | 22.1 | Cumulative percentage | 57.7 | Minimum mark required | 71  |
| <b>C</b>        | Number of candidates | 2,072 | Percentage | 20.9 | Cumulative percentage | 78.6 | Minimum mark required | 58  |
| <b>D</b>        | Number of candidates | 1,313 | Percentage | 13.2 | Cumulative percentage | 91.8 | Minimum mark required | 45  |
| <b>No award</b> | Number of candidates | 814   | Percentage | 8.2  | Cumulative percentage | 100  | Minimum mark required | N/A |

Please note that rounding has not been applied to these statistics.

You can read the general commentary on grade boundaries in the appendix.

In this report:

- ◆ 'most' means greater than 70%
- ◆ 'many' means 50% to 69%
- ◆ 'some' means 25% to 49%
- ◆ 'a few' means less than 25%

You can find more statistical reports on the [statistics and information](https://sqa.my/) page of SQA's website.

## **Section 1: comments on the assessment**

### **Question paper**

The modified question paper covered a good breadth of course content and was accessible to candidates. It mainly performed as expected, however, the C grade boundaries were adjusted to take account of the slightly higher level of demand in a few questions.

### **Assignment**

The assignment performed as expected. There was a broad range of topics and a wide variety of businesses. Marketing mix and customer service proved to be the most popular topics.

## Section 2: comments on candidate performance

### Areas that candidates performed well in

#### Question paper

##### Section 1

- Question 1(b) Candidates performed well in this question, with most being able to identify the trend.
- Question 2(a)(ii) Most candidates successfully identified stakeholders of the British Army.

##### Section 2

- Question 3(c) Candidates showed sound knowledge of factors affecting the choice of a supplier.
- Question 6(b)(i) Most candidates showed sound knowledge of factors to be considered when setting a price.
- Question 7(b) Candidates performed well in this question, showing sound knowledge of the impact of poor customer service.

#### Assignment

The presentation of most candidate's work has improved, with most using appropriate headings, 1.5 or double line spacing, graphics and keeping within the word count limit.

Candidates performed well in all sections with a marked improvement to the analysis of findings and conclusions and recommendations.

### Areas that candidates found demanding

#### Question paper

##### Section 1

- Question 1(a)(i) Many candidates found it difficult to identify the type of business organisation that Subline Hairdressing was. Many candidates gave either the wrong type of organisation or gave the sector of economy, showing poor basic knowledge.
- Question 1(a)(ii) Some candidates found it difficult to distinguish between the types of business organisations.
- Question 1(f) Many candidates gave benefits of technology rather than uses. Some candidates failed to identify a type of technology and just said 'technology can be used for advertising'.

Question 2(e) Candidates found it difficult to describe methods of advertising. Many candidates justified the methods but did not describe them.

## **Section 2**

Question 4(a) Candidates showed poor knowledge of working practices.

Question 4(c) Many candidates could describe industrial action but not its impact.

Question 5(a) Some candidates could not identify the labels in the income statement, showing poor knowledge of key terms. Some candidates used old accounting terminology, for example 'net profit'.

Question 5(b) (ii) Candidates found it difficult to give benefits of spreadsheets with many stating uses.

Question 5(c) Many candidates outlined the use of online banking rather giving a benefit of using it.

Question 7(a) Some candidates showed poor knowledge of factors of production. Some candidates were giving methods of production.

Question 7(c) Some candidates were unable to correctly identify external factors.

## **Assignment**

### **Background information**

Some reports were overly long for this section and used up unnecessary words from the candidate's overall word count.

### **Research methods and sources**

Some candidates only listed values for their research methods and did not explain the value.

### **Findings, analysis and interpretation**

A few candidates did not give analysis of their findings, which meant the maximum mark allocation available to them was 6 marks. Some candidates are still providing findings that are not related to their topic.

### **Conclusions and recommendations**

Although there was an improvement this year in this section some candidates did not justify their conclusions and/or recommendations. Conclusions and recommendations without a justification gain a maximum of 1 mark across this section of the report. Some candidates gave new information in this section that they had not previously mentioned in findings analysis and interpretation. This could not be credited.

**Collating and reporting**

Some candidates used the title 'introduction' rather than 'background information', so could not be credited with the heading mark. A few candidates did not include any graphics or only gave one graphic. Some candidates gave more than the maximum two pages of appendices, which was unnecessary.

## **Section 3: preparing candidates for future assessment**

### **Question paper**

Candidates should read questions carefully, taking account of the command words. They must ensure that command words are applied accurately. When the command word is 'identify' there is no need to rewrite the question or write a sentence — a bullet point will suffice.

When asked to include a diagram, candidates should use about a third of a page for each diagram. This ensures that markers can see the diagram and all labels clearly.

Centres should be using new financial terminology for income statements. Candidates should try to avoid using the generic term 'money', especially if using it in place of sales, profit, expenses etc.

Centres should ensure candidates understand the difference between common areas that are often mixed up, for example sectors of industry and sectors or economy; factors of production and methods of production; and stakeholders and external factors.

Candidates should be encouraged to space their answers out in the answer booklet leaving space between each question. Word-processed responses should be printed in double-line spacing.

Understanding Standards materials are available on SQA's website. These include evidence of candidate responses, together with commentaries on why candidates were or were not awarded marks. This is a useful source of information for preparing candidates for future assessments.

### **Assignment**

Centres should continue to use the template provided. Centres can use this to pre-set fonts, sizes and line spacing, but the template should not include the headings. Candidates gain one mark for appropriate use of headings; therefore, this must be the candidate's own work. It is important to note that the headings must be in full (for example research methods and sources not just research methods) and that there is a slight difference between National 5 and Higher.

When choosing a topic, candidates should avoid using double or overly complex topics. This can make it challenging for candidates to collect information and, more importantly, difficult for them to interpret. Some candidates may find it easier to write their topic as a question — as then they may find it easier to write an overall conclusion by answering the question.

Candidates should not exceed the 1,300 word limit and they must declare the word count accurately on the flyleaf. Appendices do not contribute towards the word count.

Understanding Standards materials have been updated are available on SQA's website. This is a useful source of information for preparing candidates for their assignment.

## Appendix: general commentary on grade boundaries

SQA's main aim when setting grade boundaries is to be fair to candidates across all subjects and levels and maintain comparable standards across the years, even as arrangements evolve and change.

For most National Courses, SQA aims to set examinations and other external assessments and create marking instructions that allow:

- ◆ a competent candidate to score a minimum of 50% of the available marks (the notional grade C boundary)
- ◆ a well-prepared, very competent candidate to score at least 70% of the available marks (the notional grade A boundary)

It is very challenging to get the standard on target every year, in every subject at every level. Therefore, SQA holds a grade boundary meeting for each course to bring together all the information available (statistical and qualitative) and to make final decisions on grade boundaries based on this information. Members of SQA's Executive Management Team normally chair these meetings.

Principal assessors utilise their subject expertise to evaluate the performance of the assessment and propose suitable grade boundaries based on the full range of evidence. SQA can adjust the grade boundaries as a result of the discussion at these meetings. This allows the pass rate to be unaffected in circumstances where there is evidence that the question paper or other assessment has been more, or less, difficult than usual.

- ◆ The grade boundaries can be adjusted downwards if there is evidence that the question paper or other assessment has been more difficult than usual.
- ◆ The grade boundaries can be adjusted upwards if there is evidence that the question paper or other assessment has been less difficult than usual.
- ◆ Where levels of difficulty are comparable to previous years, similar grade boundaries are maintained.

Grade boundaries from question papers in the same subject at the same level tend to be marginally different year on year. This is because the specific questions, and the mix of questions, are different and this has an impact on candidate performance.

This year, a package of support measures was developed to support learners and centres. This included modifications to course assessment, retained from the 2021–22 session. This support was designed to address the ongoing disruption to learning and teaching that young people have experienced as a result of the COVID-19 pandemic while recognising a lessening of the impact of disruption to learning and teaching as a result of the pandemic. The revision support that was available for the 2021–22 session was not offered to learners in 2022–23.

In addition, SQA adopted a sensitive approach to grading for National 5, Higher and Advanced Higher courses, to help ensure fairness for candidates while maintaining



standards. This is in recognition of the fact that those preparing for and sitting exams continue to do so in different circumstances from those who sat exams in 2019 and 2022.

The key difference this year is that decisions about where the grade boundaries have been set have also been influenced, where necessary and where appropriate, by the unique circumstances in 2023 and the ongoing impact the disruption from the pandemic has had on learners. On a course-by-course basis, SQA has determined grade boundaries in a way that is fair to candidates, taking into account how the assessment (exams and coursework) has functioned and the impact of assessment modifications and the removal of revision support.

The grade boundaries used in 2023 relate to the specific experience of this year's cohort and should not be used by centres if these assessments are used in the future for exam preparation.

For full details of the approach please refer to the [National Qualifications 2023 Awarding — Methodology Report](#).